INSPIRED MORTGAGE

SEE LENDERS COMPETE FOR YOUR BUSINESS

PREPARED FOR

Sarah Mitchell

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YOUR ADVISOR

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This report takes about 10 minutes to read.

We'd encourage you to take that time. The decisions ahead of you—rate type, lender, timing—will impact your finances for years. This document was built specifically for your situation, and it's designed to make sure you understand your options clearly.

Even if you choose not to work with us, you'll walk away more informed than most Canadians ever get about their mortgage.

Markets change. So should your mortgage strategy.

What You Told Us

Sarah, thank you for sharing your story with us. Your mortgage isn't just numbers on a page—it's your home, your family's security, and years of hard work. We take that seriously.

Here's what we heard during our conversation:

- You have a $415,000 mortgage with Scotiabank that you've held for about 4 years
- You chose a variable rate with fixed payments of $1,850/month
- You were surprised to learn at your recent statement that your balance has actually increased
- Your amortization has extended from 25 years to 26 years despite making every payment
- You didn't receive any communication from your bank about the negative amortization
- You're concerned about what this means for your financial future
- You want to understand what went wrong and how to fix it going forward

We've designed the rest of this report around your specific situation. No generic advice—just a clear-eyed look at what happened on your last term, what it means for you today, and what we can do differently going forward.

Take your time with the following pages. We want you to understand not just what we recommend, but why—so you can make the best decision for your family.

What Happened on Your Last Term

In 2021 or 2022, you had a variable rate mortgage with a fixed payment—probably around $1,850 per month. Your rate was somewhere in the 1.65% range. Life was good.

Then rates exploded. From 2% to 6% in less than two years.

But here's the thing: your payment never changed. Same amount every month. Same automatic withdrawal. Nothing looked different.

So why would you think anything was wrong?

Here's what was actually happening.

Your mortgage payment is split between principal (paying down what you owe) and interest (what the bank charges you to borrow). When rates rise but your payment stays the same, the interest portion grows—and the principal portion shrinks.

At a certain point, your entire payment was going to interest. Your balance wasn't moving at all.

Then it got worse. When even your full payment couldn't cover the interest, the unpaid interest got added to your balance. Your mortgage was actually growing. This is called negative amortization.

You made every payment. Never missed one. Did everything right.

And when you got to renewal, you discovered you owed more than when you started—with a longer amortization than you began with.

You made every payment.
You now owe more than before.

ORIGINAL AMORTIZATION

25

years

→

CURRENT AMORTIZATION

26

years — going backwards

This wasn't your fault.

Your bank set this up. They chose the fixed-payment structure. And when rates climbed to the point where your mortgage was going backwards, they never called. Never warned you. Never suggested you increase your payment or lock in.

You had no way of knowing. The statements didn't scream "emergency." The payments looked normal. The damage was invisible until it was done.

What could happen again:

If you go back to the same bank—or any lender who treats mortgages as "set and forget"—you're trusting that this won't happen again. But the conditions that caused this haven't changed. Rates can still move. Banks still won't call.

The only thing that changes the outcome is having someone who's actually watching.

WANT TO VERIFY THIS STORY? Copy prompt below

Copy and paste this prompt into Google or any AI tool:

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Explain what happens to a Canadian variable rate mortgage when interest rates rise
rapidly but the lender keeps the monthly payment the same. How does the principal vs
interest split change? Is it possible for a borrower to make years of payments and see
almost no reduction in their balance? What happened to many Canadian variable rate
mortgage holders between 2022 and 2024?
```

Your Next Step

Ready to see which strategies fit your situation? Complete your application and we'll build your personalized Lender Comparison Report—including real numbers from 30+ lenders competing for your business.

What the Application Unlocks

- ✓ Access to 30+ lenders competing for your business
- ✓ A side-by-side Lender Comparison Report with real rates
- ✓ Personalized strategy recommendations based on your full financial picture
- ✓ Our $5,000 Penalty Guarantee — protection no bank will offer

Ready to See What's Possible?

10-15 minutes · No credit impact · No obligation

Start Your Application →

No Commitment Required

The application is not a commitment to proceed. It's how we gather the information needed to make lenders compete for your business. There's no credit impact, no obligation, and no pressure. You'll receive your personalized Lender Comparison Report within 24-48 hours—and then you decide.

Why Timing Matters

Mortgage rates change daily. The rates available today may not be available next week. By completing your application now, we can lock in today's best options while you review your report and make your decision.

Our Approach

The Inspired Team has over 90 years combined experience in the Canadian mortgage space. We've seen every rate cycle, every market panic, every "this time is different" moment.

And here's what we've learned: the mortgage industry is designed to benefit banks, not borrowers. We built Inspired Mortgage to change that.

Here's what makes us different:

- **We work for you, not the banks.** We're paid the same regardless of which lender you choose. Our only job is finding you the best deal.
- **We watch your mortgage.** Not just at renewal—throughout your entire term. If something changes, we call you.
- **We explain the math.** Every recommendation comes with numbers you can verify yourself.
- **We make lenders compete.** 30+ lenders. One application. You see every offer.

After decades in this industry, we could have done anything. Instead, we built this.

The Inspired Mortgage Promise

You'll never sign a renewal letter without knowing your options. You'll never be surprised by rate changes. You'll never wonder if you got the best deal.

Greg Williamson
Founder, Inspired Mortgage

Our Promise to You

$5,000

PENALTY GUARANTEE

If your penalty exceeds $5,000 when refinancing with us, we cover the difference. Guaranteed.

For penalties under $5,000, we split it 50/50.

How It Works

- Your penalty is $12,000? You pay $5,000, we cover $7,000.
- Your penalty is $8,000? You pay $5,000, we cover $3,000.
- Your penalty is $4,500? We split it 50/50—you pay $2,250, we cover $2,250.

This guarantee exists because we believe in our ability to find you a better deal. If the savings from your new rate don't justify the penalty, we make up the difference.

Ask Your Bank

Ask your bank: "If I renew with you, will you guarantee that I will not pay any higher of a penalty than $5,000? And if the penalty is lower than $5,000, will you split it with me 50/50—for any reason I break the mortgage, including selling my house?"

If they say no, then the risk of renewing with them is way too high. You will not have an opportunity to renegotiate and get a lower rate in the future.

See the $5,000 Guarantee in Action

See what this looks like for your mortgage. Complete your application to unlock your Lender Comparison Report—including which lenders offer fair penalties and how the $5,000 Guarantee applies to your specific situation.

What You'll Receive

- ✓ Your exact penalty amount from each lender
- ✓ How the $5,000 Guarantee applies to your situation
- ✓ A clear comparison showing which lenders offer fair terms
- ✓ The math behind whether breaking your current mortgage makes sense

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Start Your Application →

> *"I had no idea I was overpaying until Inspired Mortgage showed me the numbers. The $5,000 Penalty Guarantee made the decision easy—I'm saving over $400 a month now."*
>
> — Recent Inspired Mortgage Client

We Do the Heavy Lifting

Once you complete the application, our team reviews your full financial picture and shops your mortgage to 30+ lenders. You don't need to call anyone, negotiate anything, or fill out multiple applications. One application. Every option. Delivered to you in a clear, easy-to-read report.

Strategy: Fixed Rate Mortgage

A fixed rate locks in your interest rate for the entire term—typically 5 years. Your payment stays exactly the same, no matter what happens in the market.

When Fixed Makes Sense

- You value predictability and want to know exactly what you'll pay each month
- Your budget is tight and you can't absorb payment increases
- You believe rates will rise significantly during your term
- You sleep better knowing your rate won't change

What We Do Differently

Most people just take the rate their bank offers. We make lenders compete—and the difference can be significant.

But here's the thing: getting you a competitive rate today is just the beginning. The real value happens during your term.

Monthly Mortgage Monitoring

Every month, we send you a customized report that analyzes your fixed rate relative to current market rates. You'll always know exactly where you stand.

Why this matters: Let's say you lock in today at 4.30%. Fourteen months from now, the same 5-year fixed rate is available at 3.75%. Your bank will never tell you this. They're happy to keep collecting your higher payments.

We'll notify you immediately. And because of our $5,000 Penalty Guarantee (with 50/50 split on penalties under $5,000), you can actually do something about it.

Strategic Relock: How It Works

When rates drop significantly, we run the math:

- What's your current penalty?
- What will you save with the lower rate?
- Does it make sense to break and relock?

If the savings outweigh the penalty—and with our guarantee protecting you—we execute a strategic relock. You get a brand new 5-year term at the lower rate, and you keep more money in your pocket.

Real Example: Two Strategic Relocks in One Term

Let's compare two borrowers with identical $500,000 mortgages, both starting at 4.30%:

BORROWER A: RENEWS WITH THEIR BANK

- Locks in at 4.30% for 5 years
- Rates drop to 3.75% at month 14—bank never calls
- Rates drop to 3.25% at month 32—bank still never calls
- Pays 4.30% for the entire 60 months
- Total interest paid over 5 years: approximately $103,500

BORROWER B: WORKS WITH INSPIRED MORTGAGE

- Locks in at 4.30%
- Month 14: Rates drop to 3.75%. We call. Penalty is $4,200—we split it 50/50 ($2,100 each). Relock at 3.75% for new 5-year term.
- Month 32 (18 months into new term): Rates drop to 3.25%. We call again. Penalty is $3,800—we split it 50/50 ($1,900 each). Relock at 3.25%.
- Total penalties paid by borrower: $4,000
- Total interest paid: approximately $78,200

THE DIFFERENCE

Borrower B saves over $21,000 in interest, minus $4,000 in penalties = net savings of $17,000+

And here's what most people miss: Borrower B also now has a rate locked at 3.25% going forward, while Borrower A is about to renew into whatever the market offers in year 6.

This is active management. This is what your bank will never do.

Ask Your Bank

Before you renew with them, ask: "If rates drop significantly during my term, will you call me? Will you help me relock at the lower rate? Will you guarantee my penalty won't exceed $5,000?"

You already know the answer.

Strategy: Variable Rate Mortgage

Variable rates move with the market—which means risk, but also opportunity. Right now, based on our analysis, we're in a cycle that looks flat to slightly declining. That's a window.

But here's what you need to understand: a variable rate is only as good as the management behind it.

When Variable Makes Sense

- You can handle some payment fluctuation
- You believe rates will stay flat or decrease
- You want lower penalties if you need to break your mortgage early
- Historically, variable rates have outperformed fixed rates over time

What We Do Differently

We don't guess at market timing. We track the signals that matter—Bank of Canada policy, bond yields, inflation trends, employment data, and how lenders are pricing risk. We've mapped these cycles for years. When the indicators shift, we act.

The Strategy

Start variable, benefit from lower payments while rates drift down, and watch for the signals that tell us we're approaching the bottom of the cycle. When those signals appear, we reach out to discuss locking into a fixed rate—ideally 1–1.5% below today's rates.

How This Could Play Out For You

You start variable at today's rates. Over the next 12–18 months, the Bank of Canada continues easing. Your rate drops incrementally. When we see signs the cycle is turning—inflation ticking up, bond yields rising—we reach out. You lock in at the bottom, a full 1–1.5% below today's fixed rates. That's active management in action.

On your $415,000 mortgage, a 1.25% rate drop saves you roughly $5,188 per year—and over $25,938 across a typical term. That's not a rounding error. That's a family vacation every year. Or years shaved off your amortization. Or tens of thousands in interest you never pay.

The Danger of Going It Alone

In 2022 and 2023, we saw what happens when no one is watching.

Variable rates spiked. Homeowners who had chosen variable—often on good advice at the time—watched their rates climb month after month. But here's what made it worse: most banks kept their payments the same.

That sounds harmless. It wasn't.

What actually happened is that a larger and larger portion of each payment went to interest—and almost nothing went to principal. Some homeowners made payments for two full years and barely moved the needle on what they owed. They had no warning. No call from their bank. No one watching.

By the time they realized what had happened, the damage was done—tens of thousands in extra interest, years added to their mortgage, and no easy way out.

That's what unmanaged variable looks like.

Managed variable means someone is watching. Someone runs the numbers monthly. Someone calls when the math changes. Someone tells you when it's time to lock in—and when it's time to wait.

That's what we do.

And if the time comes to lock in and there's a penalty involved—even on a variable rate mortgage—you're protected by our $5,000 Mortgage Penalty Guarantee. Your out-of-pocket will never exceed $5,000 (and if the penalty is under $5,000, we split it 50/50). We cover the rest.

That's not a promise you'll find anywhere else.

What Happens Next

1 → 2 → 3

Complete Your Application

10-15 minutes. No credit impact.

Receive Your Lender Comparison Report

Within 24-48 hours of receiving your completed application, we'll shop your mortgage to 30+ lenders and send you real rates with a side-by-side comparison.

Make Your Decision

No pressure. No obligation. Just clear information to decide what's best.

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Your Advisor

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